

INDUSTRY TREND ANALYSIS

# Two-speed demand becomes structural

Structural · Evidence current to 27 August 2026

The signal

Wallet pressure and willingness to spend diverge by market, category, income, and occasion; consumers trade down selectively and still pay for justified experiences.

|                                                                                                                                                                               |                                                                                                                                              |                                                                                                                                 |
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| <div>54%</div> <div>European consumers surveyed who were pessimistic about their national economies in 2025; only 40% felt good about personal finances. <sup>[1]</sup></div> | <div>17% / 83%</div> <div>macro versus household-level micro factors in an earlier global consumer-resilience analysis. <sup>[2]</sup></div> | <div>\$860 billion</div> <div>estimated annual spending generated by India's 377 million Gen Z population. <sup>[3]</sup></div> |
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## What is changing - and why it matters

Consumer demand is becoming more selective rather than uniformly weaker. Sentiment and personal finances differ sharply across countries, incomes, categories and occasions. Consumers may trade down in routine purchases while paying for convenience, health or experiences they value. Portfolio averages therefore hide the decisions that matter.

Executive implication

Consumer demand is becoming more selective rather than uniformly weaker. Sentiment and personal finances differ sharply across countries, incomes, categories and occasions. Consumers may trade down in routine purchases while paying for convenience, health or experiences they value. Portfolio averages therefore hide the decisions that matter.

## Action agenda

- Segment demand by need state, income and occasion rather than using one consumer outlook.
- Create explicit good-better-best price and pack architecture.
- Shift marketing and inventory toward observable local demand signals.

## What could change the view

- Economic pessimism converts into broader personal-finance stress.
- Premium resilience is concentrated in too few affluent cohorts or markets.

## Selected evidence

[1] Weekly Brief · 2025-06-17 · How Are European Consumers Feeling?

[2] Weekly Brief · 2023-11-21 · Is Consumer-Led Growth a Thing of the Past?

[3] Weekly Brief · 2025-08-28 · Reflections from India—A Country Defining Its Future

[4] Weekly Brief · 2025-01-14 · Navigating the New Dynamics of Global Trade

[5] Authoritative research · McKinsey & Company · 2026-06-22 · State of the Consumer 2026: When Tech Acceleration and Cost Pressures Collide

[6] Authoritative research · World Bank · 2026-06-16 · Global Economic Prospects — June 2026

[7] Authoritative research · FAO · 2026-06-18 · Food Outlook — June 2026

This independent analysis connects the available Weekly Brief archive with selected authoritative research. Forecasts and company-reported figures are identified in context. The complete evidence list remains available on the website.